THE EQUITY EXPRESSION OF THE TANKER SHIPPING THESIS

The Premium For Going In

The Strait of Hormuz has been shut since 28 February. On 3 August eight tankers transited it, against roughly 130 a day before the war. In the same week the assessed rate for a supertanker from the Gulf to China reached $481,000 a day. Both describe the same water and point opposite ways: volumes have collapsed and the price has gone vertical. That happens when the scarce thing stops being ships and becomes willingness. The question has changed this week because a settlement is close: Tehran agreed shipping-lane coordinates with Oman on 5 August, and by 8 August the argument had narrowed to transit fees. Reopening would be plainly good for the oil market. What it would do to the companies whose shares have been bid on those rates is a harder question.

A reframe worth holding onto

The internal research Wiki could not be reached for this edition, so the reframe below is the desk's own, assembled from external reporting rather than taken from a named provider. It is this. The Hormuz number is not a freight rate. A freight rate is the price of moving a barrel; this is the price of agreeing to move it. Read that way, the headline rises as the pool of willing owners shrinks — so the figure measures how few will go, not how much work there is. Which permits a record print and falling realised earnings at the listed fleet in the same week. Both are happening.

Method. Every external figure carries a named source and an as-of date. Freight assessments are from the Signal Group weekly tanker monitor (data to 6 August 2026); company figures from the operators' own quarterly releases; insurance from Marsh via S&P Global Commodity Insights and Platts; fleet and orderbook data from Maritime Strategies International. Two intended inputs failed. The internal research Wiki returned an authentication error, so no internal provider view is quoted anywhere in this edition, and the archive folder for the thirty-day cooldown check was unreachable. Both failures are detailed in the final section.

A mine sits at the end of a single mountain road. In normal times 130 lorries a day run it and a load costs £1,000. Then shelling starts on one stretch of the pass. The road is not destroyed; it has stopped being sane to drive. Eight lorries a day now go, and a load clears at £60,000, because the price is set by whoever is still willing and almost nobody is. The valley's largest haulier — new fleet, bank covenants, insured trucks, named drivers — has parked everything and runs another route at £700 a load. The £60,000 goes to a man with an unmarked lorry, no cover and the transponder off. All of it is true at once: the record price, the tonnage still moving, and the fall in the listed firm's revenue per load. A stranger reading only the headline would think the industry was having its best year ever. He would be describing work almost none of it does.

THE STORY IN 60 SECONDS

$481,000

Gulf-to-China VLCC assessed earnings (TD3C), up $58,000 on the week.
Signal Group, to 6 August 2026.

8 vs 130

Hormuz transits on 3 August against roughly 130 a day pre-conflict.
Al Jazeera, 5 August 2026.

−19%

Teekay's realised Aframax/LR2 rate: $74,149 in Q2 to $59,900 quarter-to-date.
Teekay Tankers, 29 July 2026.

WHAT ACTUALLY HAPPENED

A chokepoint is not a detour

Most shipping disruptions are reroutings. When the Red Sea became dangerous, vessels went round the Cape of Good Hope: the cargo still moved, the voyage simply got longer, and because tanker earnings are a function of distance as much as volume, the industry was paid more for doing the same work. The unit of demand here is the tonne-mile — cargo weight multiplied by distance carried — and the reason it matters is that a ship committed to a long voyage is a ship removed from the market for its duration. Lengthen every voyage by a third and the effective fleet contracts by roughly a quarter without a single hull being scrapped. That is the familiar pattern, and it is why the reflex on any maritime crisis is to assume more tonne-miles and therefore higher earnings.

Hormuz does not work that way, because there is no route around it. Roughly one-fifth of the world's oil moved through the strait in peacetime, and every barrel of it originates behind the chokepoint. A ship that will not enter the Gulf does not take a longer path to the same cargo; it takes no cargo at all. The consequence shows up cleanly in the loadings data. Over the eight weeks to 3 May, VLCC liftings fell 36 per cent — 8.1 million barrels a day of lost volume, taking the running rate to 14.4 million barrels a day against a pre-war average of 22.5 million. Pacific-basin loadings, which include the Gulf, fell 49 per cent. Around 58 VLCCs, close to a tenth of the world fleet, were stuck inside the strait.

Some of that volume was replaced, and the replacement did lengthen voyages. Atlantic-basin loadings, running near their pre-war level of about 6 million barrels a day, climbed to 8.1 million in the week of 26 April, largely on releases from the United States strategic petroleum reserve. A barrel shipped from the American Gulf Coast to China is a far longer voyage than the same barrel from Ras Tanura, so on a tonne-mile basis the Atlantic substitution is genuinely bullish for demand for ships. This is the part of the argument that is real, and it is the part most commentary stops at.

What it leaves out is the return leg. A tanker earns over a round trip, not over a laden voyage: having discharged in China it must sail empty — in ballast — to wherever the next cargo is waiting, and those days count against the revenue it has already booked. With the Gulf effectively shut, the ballast leg has lengthened for almost every ship in the East, and the arithmetic is unforgiving, because voyage revenue is fixed at the fixture while the number of days it is spread across is not. This is precisely what Frontline told shareholders in May, guiding second-quarter VLCC days at $181,700 while warning that the realised figure would come in lower "due to the impact of ballast days". Ballast is the mechanism by which a record fixture becomes an ordinary quarter, and it is visible in the positioning data: the ratio of ballasting to laden vessels east of Suez rose from 1.0 on 14 July to 1.5 by 6 August.

What complicates it is where the money actually went. If the story were simply longer voyages, Atlantic freight would be strong. It is not. In the week to 6 August, the US Gulf to China VLCC route assessed at $119,000 a day, down $9,000 on the week, and West Africa to China at $107,000, down $10,000. Caribbean Aframaxes fell by $24,000 to $27,000 to a range of $89,000 to $95,000. The only routes rising were those that require passing the guns: Gulf to China up $58,000, Gulf to Singapore up $44,000, Black Sea to Mediterranean Suezmaxes up $59,000. The spread between a Gulf voyage and an Atlantic one on the same class of ship was more than four to one. That is not a distance premium. Distance is priced identically on both sides of the trade. It is a hazard premium, and it is being paid to a very specific and very small group of people.

THE ESSENTIAL DISTINCTION

A freight rate is the price of moving oil. The Hormuz number is the price of *agreeing* to move it. The first rises when there is more cargo than tonnage. The second rises when there is less consent than cargo — which means it climbs fastest precisely as the trade becomes least investable by anyone with an insurer, a lender and a crew list.

MECHANISM

One cargo, from offer to earnings

1 · The cargo is offered

A charterer needs two million barrels of Gulf crude delivered to China. At the Platts assessment of $77.96 a tonne on 22 July, a 270,000-tonne cargo carries roughly $21m of gross freight — against a five-year average assessment of $18.91 a tonne.

→

2 · Consent is priced

War-risk cover for a Hormuz transit ran at 7.5 to 10 per cent of hull value on 22 July, against 1 to 3 per cent weeks earlier. On a five-year-old VLCC valued near $143m that is $10.7m to $14.3m of premium. Most owners decline at any rate.

→

3 · The fixture clears

It clears with whoever will go. Of 102 transits since 14 July, 62 per cent ran dark and 56 per cent sat with non-transparent interests. Ballast-to-laden ratios east of Suez rose from 1.0 on 14 July to 1.5 on 6 August: more ships pointing away than in.

→

4 · Earnings are realised

Insured, listed, bank-financed owners largely trade elsewhere at falling Atlantic rates. Teekay's Suezmaxes realised $109,171 a day in the second quarter and $104,800 quarter-to-date; its Aframaxes and LR2s fell from $74,149 to $59,900.

Sources: Platts assessment via Al Jazeera, 22–23 July 2026; Marsh via S&P Global Commodity Insights, 22 July 2026; Signal Group Weekly Tanker Market Monitor, data to 6 August 2026; Teekay Tankers second-quarter 2026 results, 29 July 2026. Whether the war-risk premium falls to owner or charterer is negotiated fixture by fixture and is not disclosed publicly; the figures above establish the scale of the risk being priced, not a deduction from any named company's earnings. The insurance and freight figures are dated 22 July and the freight assessments 6 August; they are not a single-day comparison.

$481,000/day

Gulf-to-China VLCC assessed earnings, 6 August 2026 — the highest the route has printed, and available on a handful of voyages a day.

8 of 130

Tankers transiting Hormuz on 3 August against the pre-conflict daily norm. The strait has been shut since 28 February 2026.

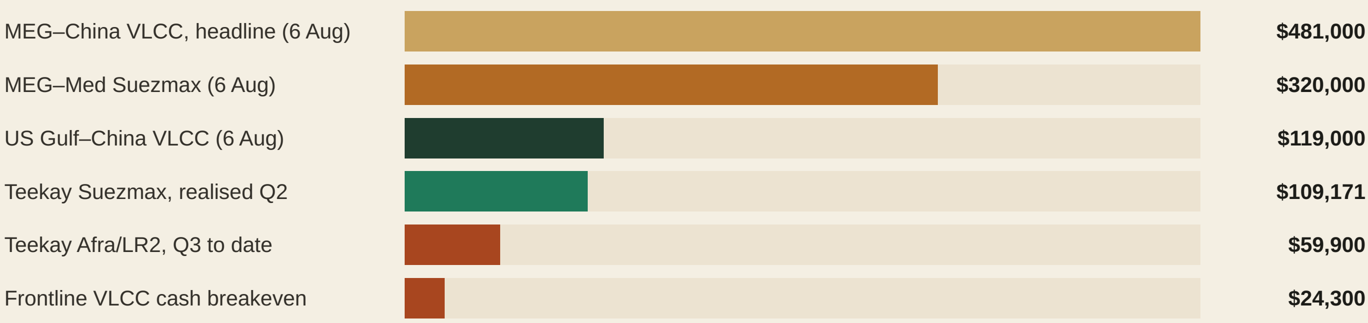
35%

Tanker orderbook as a share of the existing fleet at June 2026, against 2 per cent in 2023. Some 83 per cent of first-half orders deliver in 2028 and 2029.

Sources: Signal Group Weekly Tanker Market Monitor, data to 6 August 2026; Al Jazeera, 5 August 2026; Maritime Strategies International via Safety4Sea, 15 July 2026.

THE CENTRAL COMPARISON

The gap between the headline and the ledger



Bars are illustrative and scaled to the highest value shown; they are not a like-for-like comparison, since the first three are single-week route assessments for different vessel classes and the last three are company-reported realised or breakeven figures over different periods. Sources: Signal Group Weekly Tanker Market Monitor, data to 6 August 2026; Teekay Tankers second-quarter 2026 results, 29 July 2026; Frontline first-quarter 2026 results, 21 May 2026.

The top bar is what the market prints and what the headlines carry. The bottom three are what companies actually banked, or need to bank to stay solvent. The distance between the first and the fourth is not evidence that anyone is being dishonest; it is evidence that they are measuring different things. The distance between the fourth and the sixth matters more to an equity holder, because it determines whether a reopening is survivable. Frontline's cash breakeven on a VLCC is $24,300 a day, and Teekay realised four times that on Suezmaxes in the second quarter. The industry does not need $481,000 to make money. It needs rather less than most of the discussion implies, which is the most underweighted fact in the bull case.

> **A USEFUL MENTAL MODEL**
>
> Freight clears at the margin, and the marginal ship is the most risk-tolerant one afloat. A published rate therefore describes the price demanded by the *least* cautious owner in the market — not the average owner, and rarely a listed one. In peacetime the gap between those two is small enough to ignore. In a war it becomes the whole story, and the index and the industry come apart.

THE SHIFT

What has actually shifted

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
Risk has replaced distance as the price driver	Gulf routes rose $44,000–$58,000 in the week to 6 August while US Gulf–China fell $9,000 and West Africa–China fell $10,000; Caribbean Aframaxes fell up to $27,000.	A hazard premium is larger and faster than a distance premium, but it evaporates on a signature. A tonne-mile gain from redrawn trade routes can persist for years; this cannot.
Effective supply has tightened without the fleet shrinking	Around 58 VLCCs trapped inside the strait, close to a tenth of the fleet. Utilisation at 48.4 per cent against a 39 per cent three-year seasonal average. Ballast-to-laden east of Suez up from 1.0 to 1.5.	Trapped tonnage supports rates now and becomes available supply the moment the strait opens — the same ships that tightened the market will loosen it, and they are already positioned to do so.
The trade has migrated to operators who cannot be owned	Of 102 transits since 14 July, 62 per cent with AIS disabled — 79 per cent among crude tankers. Fifty-six per cent controlled by non-transparent interests; 53 of 102 routes untraceable.	Scarcity of compliant tonnage is what lifts the assessed rate. It also means the assessed rate is being earned by entities outside the listed universe, so the index overstates what shareholders receive.
Asset values have repriced hard	A five-year-old VLCC valued near $143m at 6 August, up 21 per cent on the year; a ten-year-old near $113m, up 28 per cent. Resale VLCCs quoted at $170m in late July.	Net asset value support is real and slow to unwind, and secondhand strength lets owners sell rather than trade. It also raises replacement cost, which is what pulled record newbuilding orders forward.
The orderbook has gone from empty to crowded	177 VLCCs ordered in the first half of 2026, 54.5m dwt, against a previous half-year peak of 32.6m dwt in 2006. Orderbook at about 35 per cent of the fleet in June, from 2 per cent in 2023.	Deliveries are mostly 2028 and 2029, so they do nothing to today's rates. They also mean the cycle now has a fixed end date, which it did not have a year ago.
The catalyst has flipped direction	Coordinates agreed with Oman on 5 August; the residual dispute is Iranian transit fees. A first arrangement of 60 days with no fees has been proposed.	Every previous escalation was bullish for rates and bearish for oil. A settlement inverts both. The event that most helps the world economy is the one that most hurts the trade.

BOTH SIDES

Bull and bear, stated fairly

The case for owning it

- **Breakevens are far below any plausible rate.** Frontline reported cash breakevens of $24,300 a day on VLCCs and Suezmaxes and $23,600 on LR2s. Even a full retreat to pre-war Atlantic levels leaves wide cash margins.
- **Realised earnings are already extraordinary.** International Seaways earned $286m in the first quarter, $5.75 a diluted share, on VLCC spot of $86,693 a day; Teekay made $225.9m in the second on Suezmaxes at $109,171.
- **The cash is being paid out, not retained.** International Seaways declared $4.55 a share for June; Frontline paid $1.55 for the first quarter; DHT paid $0.64, its 65th consecutive quarterly dividend.
- **Forward cover was struck at high rates.** Frontline had 82 per cent of second-quarter VLCC days booked at $181,700; DHT had 70 per cent of spot days at $168,300 and 85 per cent of all days at $113,500.
- **Balance sheets are not the problem they once were.** DHT carried net debt of $379.1m against 23 VLCCs at 31 March — a fraction of a fleet whose five-year-old units are valued near $143m each.
- **Asset value provides a floor beneath the rate.** Secondhand values rose 21 to 28 per cent over the year to 6 August. An owner who cannot earn a return trading can realise one selling, which limits how far equity can fall below steel.

The case against

- **The listed fleet is not earning the headline.** Teekay's Aframax and LR2 rate fell from $74,149 in the second quarter to $59,900 quarter-to-date, and its Suezmaxes from $109,171 to $104,800 — both down while the Gulf print rose $58,000 in a week.
- **Atlantic freight is falling, not rising.** US Gulf–China at $119,000 and West Africa–China at $107,000 on 6 August, both lower on the week. If the thesis were longer voyages, these are the rates that would be climbing.
- **The premium accrues to operators outside the listed universe.** Sixty-two per cent of transits since 14 July ran dark and 56 per cent sat with non-transparent interests. The compliant owner's refusal to transit is what creates the rate he does not collect.
- **Supply is arriving on a known schedule.** An orderbook near 35 per cent of the fleet, from 2 per cent in 2023, with 83 per cent of first-half orders delivering in 2028 and 2029. The 2006 precedent, at a comparable 38 per cent, preceded a long bear market.
- **The companies themselves have flagged the gap.** Frontline warned that full second-quarter spot rates would come in *below* the rates already contracted, because of ballast days — the cost of positioning around a closed waterway.
- **The catalyst risk is asymmetric and imminent.** Frontline's own chief executive said in June that traffic would increase quickly on a deal. Lane coordinates were agreed on 5 August. A 60-day fee-free arrangement is on the table.

WHERE THE EVIDENCE PULLS APART

The conflict this edition will not resolve

The intended structure of this section is a comparison between the firm's internal view and external reporting. That comparison cannot be made this edition, because the internal Wiki was unreachable; no internal position on tanker shipping is represented here, and none should be inferred. What can be reported is that the external evidence is itself in open conflict, in three places worth holding separately.

The first is supply, where credible sources disagree on the arithmetic. Maritime Strategies International put the tanker orderbook at roughly 35 per cent of the fleet in June. A sell-side survey published on 22 July put the crude orderbook at about 27 per cent and the VLCC book at about 32 per cent. A third strand of analysis argues that effective supply will grow only around 1 per cent over three years, because sanctioned and dark tonnage is absorbing vessels faster than yards deliver them. These are not rounding differences; they imply materially different cycles, and the disagreement rests on definitional choices — which hulls count as fleet, and whether a ship trading Iranian or Russian barrels is supply at all — that none of the sources fully discloses.

The second is the meaning of a reopening. The Frontline chief executive's June remark that Hormuz traffic would increase quickly on a US–Iran deal was reported as constructive. On the mechanics set out above it is the bear case, stated by the party with the most to lose from it. Whether tanker equities have priced reopening as relief or as the end of the trade is not observable from the data assembled here, and this edition does not claim to know.

The third is the macro frame. The Federal Reserve held at 3.50 to 3.75 per cent on 17 June by a unanimous 12–0, describing inflation as elevated "in part reflecting supply shocks that have driven price increases in certain sectors, including energy". Then on 7 August July payrolls printed at minus 23,000 with unemployment at 4.2 per cent, and the S&P 500 rallied to a record 7,757.64. An energy-driven inflation shock and a contracting labour market point in opposite directions for policy, and July CPI on Wednesday 12 August is the first hard read on which of them the Fed is now weighting. That, not the tanker market, is the week's main event.

DASHBOARD

What to watch from here

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
Daily Hormuz transit count	Eight on 3 August against roughly 130 pre-conflict. Watch the count, not the headlines.	It is the single cleanest measure of whether consent is returning. Rates cannot hold a record print if the count normalises.
Share of transits running dark	Sixty-two per cent since 14 July, 79 per cent among crude carriers. A fall means insurable owners are returning.	It marks the moment the premium becomes collectable by listed companies — and, simultaneously, the moment it starts to compress.
War-risk premium as a share of hull value	7.5 to 10 per cent on 22 July, from 1 to 3 per cent weeks earlier.	The most direct read on the hazard price. It leads freight rather than following, because cover has to exist before a fixture can be struck.
Atlantic route assessments	US Gulf–China $119,000 and West Africa–China $107,000 on 6 August, both falling.	The honest test of the tonne-mile argument. If long-haul substitution is real and durable, these rise. So far they have not.
Quarter-to-date rates in company reporting	International Seaways reports second-quarter results on 10 August. Teekay's disclosure on 29 July showed both its segments down quarter-to-date.	Quarter-to-date bookings are the only figure that reconciles the index to the ledger, and the only one management cannot present selectively.
Terms of any Hormuz arrangement	The residual dispute is Iranian transit fees. A first phase of 60 days without fees has been proposed.	A fee-bearing, access-restricted reopening keeps some premium alive. A clean restoration of free navigation does not.

EXPRESSION

Three postures, not one answer

Own the balance sheet, not the rate

Favour the lowest-cost, least-levered operators — Frontline reports opex and overhead near $10.9k a day and cash breakevens of $24,300 — on the view that the cycle survives a reopening even if the print collapses. **The cost:** forgoing most of the upside if the strait stays shut, and accepting that the orderbook still lands in 2028.

Treat it as an event trade

Size the position to the diplomatic calendar rather than to the fundamentals, and accept that a headline can settle the question overnight. **The cost:** the exit is a news event nobody trades ahead of successfully, and the same asymmetry that pays on escalation takes it back on a signature.

Take the exposure in oil, not ships

Express the chokepoint through crude or through producers, where a reopening is a headwind of known direction and rough size rather than a step-change in the earnings base. **The cost:** Brent has already carried much of the premium, up 28.4 per cent over the year to 7 August, and OPEC spare capacity caps the upside.

The companies named below are illustrative of how the theme is expressed in listed equity. They are NOT recommendations, and no view is offered on the merits of any security. Figures are drawn from the companies' own published results on the dates stated and are not updated for anything reported since.

FRO

Q1 VLCC spot $103,500/day
21 May 2026

Frontline plc — 72 crude vessels

The largest listed crude fleet and the lowest operating cost in the peer group at roughly $10.9k a day including overhead. First-quarter net income of $559.1m, adjusted $344.9m, adjusted earnings of $1.55 a share, all of it paid out as dividend. Guided second-quarter VLCC days at $181,700 on 82 per cent booked — while warning that the realised figure would land below that because of ballast days spent positioning around a closed strait. That caveat is the whole edition in one sentence from the company least incentivised to make it.

WATCH NEXT

> Whether realised second-quarter VLCC TCE comes in materially below the $181,700 already contracted, and by how much.

DHT

Q1 VLCC spot $91,700/day
Q1 2026 results

DHT Holdings — 23 VLCCs, one newbuilding

A pure VLCC owner, fully scrubber-fitted, with a chartered-in tranche that blends the spot exposure down: combined earnings of $78,800 a day against $91,700 spot in the first quarter. Net profit $164.5m, $1.02 a share, and a 65th consecutive quarterly dividend at $0.64. Net debt of $379.1m at 31 March against a 23-ship fleet whose five-year-old comparables were valued near $143m in August. Second-quarter guidance had 70 per cent of spot days at $168,300 and 85 per cent of all days at $113,500.

WATCH NEXT

> The time-charter share of days. It caps upside on a spike and is the clearest signal of how management reads the reopening risk.

INSW

Q1 EPS $5.75 · div $4.55
7 May 2026

International Seaways — 67 vessels

The most diversified of the crude names, with 59 owned and eight chartered-in hulls spanning VLCCs and Suezmaxes. First-quarter net income of $286m, adjusted $194m, adjusted EBITDA $244m, on VLCC spot of $86,693 and Suezmax of $68,027. Fleet TCE revenue of $317m against $178m a year earlier — a near-doubling that predates the worst of the closure. The June dividend of $4.55 a share illustrates the sector's habit of distributing the cycle rather than banking it.

WATCH NEXT

> Second-quarter results are due today, 10 August. The quarter-to-date rate disclosure is the number that matters, not the quarter itself.

TNK

Q3-to-date Afra/LR2 $59,900/day
29 July 2026

Teekay Tankers — 37 tankers

The most useful disclosure in the sector this reporting season, because it published quarter-to-date rates alongside the quarter. Record second-quarter net income of $225.9m and $6.49 a share on Suezmaxes at $109,171 and Aframax and LR2 at $74,149. Then, on 44 per cent of third-quarter days booked, Suezmaxes at $104,800 and Aframax and LR2 at $59,900 — a fall of 19 per cent in the smaller class during the same weeks the Gulf print was setting records. The dividend stayed at $0.25.

WATCH NEXT

> Whether the quarter-to-date softness in Aframax and LR2 extends, or reverses as products tonnage reprices behind crude.

OET

Cash breakeven ~$27.6k/day
survey, 22 July 2026

Okeanis Eco Tankers — 16 vessels

The smallest fleet in the comparison and the most concentrated: a modern, fully scrubber-fitted book of ships with the highest cash breakeven of the group at roughly $27.6k a day. Concentration works both ways in a market like this one. A sixteen-ship fleet has far more torque to a rate spike than a seventy-two-ship fleet, and correspondingly less room to absorb a mispositioned quarter. Nothing in this edition's data speaks to how those ships are currently deployed relative to the strait.

WATCH NEXT

> Fleet positioning disclosure. In a chokepoint market, where the ships are matters more than what they cost to run.

TEN

Trades below NAV
survey, 22 July 2026

Tsakos Energy Navigation

Included as the counter-example rather than the participant. The sector traded at roughly 4.0 times EV/EBITDA and 1.2 times net asset value in late July; Tsakos traded well below net asset value, attributed in the same survey to governance and capital-allocation concerns rather than to fleet quality or the freight market. It is the reminder that a correct macro call does not survive a poor corporate structure, and that in shipping the discount to steel is usually about who controls the cash rather than what the ships can earn.

WATCH NEXT

> Any change in distribution policy. Absent that, the discount is a governance verdict and the cycle will not close it.

The bottom line

What was repriced this year was not the demand for moving oil. It was the price of consenting to move it through a specific twenty-one-mile channel. That is why the Gulf-to-China assessment could reach $481,000 a day on 6 August while the Atlantic routes that should have absorbed the substituted barrels fell on the same day, and while the one operator that published quarter-to-date figures showed both its segments lower. The index and the industry stopped describing the same business somewhere around the end of February, and most of the commentary has not adjusted.

The evidence is genuinely mixed, and it should be held that way. Realised earnings are the best in the sector's history, cash breakevens near $24,000 a day mean the cycle does not require anything like current rates to remain lucrative, and asset values up 21 to 28 per cent on the year give equity a floor of steel. Against that: the marginal earner of the premium is an unnamed operator with the transponder off, the orderbook has gone from 2 per cent of the fleet to somewhere between 27 and 35 per cent depending on whose definition is used, and the event most likely to occur next is the one that removes the premium. The reasonable inference is that the trade has become a bet on the pace of a diplomatic process rather than on the shipping cycle, and that the two have to be underwritten differently. The next test is close and dated: International Seaways reports today, and July CPI lands on Wednesday.

Sources and update notes

(a) Internal sources — none used. The firm's internal research Wiki was unreachable for the whole of this run. The Heyokha Wiki MCP server reported a *needs-auth* connection state, which cannot be resolved in a scheduled session because the authorisation flow requires a person. Two further attempts returned the same state. In consequence: no Wiki theme page was read, no *last_reviewed* date can be quoted, no provider issue — 13D Research, White Box, Greed & Fear, Solid Ground, Marc Faber, HS Dent, Gary Shilling or any other — was consulted, and no internal thesis, bull case or bear case informed the argument above. The topic was selected from external reporting alone, and the reframe in the opening sidebar is the desk's own construction rather than any provider's. Readers who expect the internal leg of this series should treat this edition as external-only research. To restore the internal leg, the Heyokha Wiki connector needs to be reauthorised from an interactive session.

(b) Limitation on the internal view. The standing limitation in this series is provider concentration — the risk that a Wiki page's argument rests disproportionately on one or two research houses whose priors run in the same direction. That limitation cannot be assessed here, because no page was read. It is replaced by a larger one. With the internal leg absent, the counterweight that normally sits against external market reporting is missing, and this edition's argument is built entirely from press, sell-side and data-provider material. Three specific weaknesses follow. Freight assessments are not transaction prices; they are broker judgements on thin, distressed volume — the $481,000 figure rests on a handful of fixtures a day. Two of the six named companies, Okeanis and Tsakos, are supported by a single secondary survey rather than by their own filings, so their cards are thinner than the other four. And the extent to which the war-risk premium falls to owner rather than charterer is not publicly disclosed, which limits how far the insurance arithmetic in the mechanism section can be pushed.

(c) External sources. (1) Signal Group, *Weekly Tanker Market Monitor* week 32, published 7 August 2026, data to 6 August: MEG–China VLCC (TD3C) $481k/day, +$58k w/w; MEG–Singapore (TD2) $502k/day, +$44k; MEG–Med Suezmax (TD23) $320k/day, unchanged; US Gulf–China (TD22) $119k/day, −$9k; West Africa–China (TD15) $107k/day, −$10k; Black Sea–Med Suezmax (TD6) $377k/day, +$59k; Caribbean Aframax $89–95k/day, −$24k to −$27k; VLCC utilisation 48.4% against a 39% three-year seasonal average; five-year-old VLCC ~$143m, +21% y/y, ten-year-old ~$113m, +28% y/y; ballast-to-laden east of Suez 1.0 on 14 July to 1.5 on 6 August; 102 transits since 14 July, 62% AIS-disabled, 79% among crude tankers, 56% non-transparent ownership, 45 Iran-side, 4 Oman-side, 53 untraceable. (2) Al Jazeera, 5 August 2026: strait closed since 28 February 2026; eight transits on Monday against roughly 130 ships daily pre-conflict; one-fifth of world oil supply in peacetime; coordinates agreed with Oman; proposed 60-day fee-free first phase; residual dispute over Iranian transit fees. (3) CNN live coverage, 4, 5 and 8 August 2026: Iran–Oman talks continuing; reopening said to be near; Iran seeking concessions. (4)

Marsh, via S&P Global Commodity Insights, 22 July 2026: Hormuz war-risk cover 7.5–10% of hull value against 1–3% weeks earlier; global hull capacity $2.5–3bn; Marcus Baker, global head of marine, on underwriters pulling back from offering cover. (5) Platts assessment via Al Jazeera, 22–23 July 2026: Persian Gulf–China crude $77.96/mt against $73.80 pre-escalation, a five-year average of $18.91, a March 2026 peak near $140 and an early-June low just above $60; roughly $21m of freight on a 270,000-tonne cargo. (6) Lloyd's List reporting via maritimedata.ai, 7 May 2026: VLCC loadings −36%, or 8.1m b/d, over the eight weeks to 3 May, to 14.4m b/d from a 22.5m b/d pre-war average; Pacific basin −49%; Atlantic basin ~6m b/d rising to 8.1m in the week of 26 April on US strategic reserve releases; ~58 VLCCs trapped inside the strait, ~10% of the global fleet. (7) Maritime Strategies International via Safety4Sea, 15 July 2026: 177 VLCCs ordered in H1 2026 totalling 54.5m dwt; total tanker contracting near 80m dwt by end-June; orderbook ~35% of fleet at June 2026 against 2% in 2023; previous half-year peak 32.6m dwt in 2006 at a ~38% ratio; ~83% of H1 orders delivering 2028–29; Chinese yards ~89% of contracts. (8) Frontline plc first-quarter 2026 results, 21 May 2026: net income $559.1m, adjusted $344.9m, EPS $2.51, adjusted $1.55, dividend $1.55; VLCC spot TCE $103,500/day, Suezmax $72,400, LR2/Aframax $50,700; Q2 contracted VLCC $181,700 on 82% booked, Suezmax $131,300 on 79%, LR2 $125,000 on 68%, with the company's caveat that full-quarter realised rates would be lower because of ballast days; cash breakeven $24,300/day VLCC and Suezmax, $23,600 LR2. (9) DHT Holdings first-quarter 2026 results: net profit $164.5m, EPS $1.02, VLCC spot TCE $91,700/day, time-charter $61,300, combined $78,800; dividend $0.64, the 65th consecutive quarterly payment; 23 VLCCs and 7,164,430 dwt plus one newbuilding; Q2 70% of spot days at $168,300 and 85% of all days at $113,500; net debt $379.1m and cash $126.2m at 31 March 2026. (10) International Seaways first-quarter 2026 results, 7 May 2026: net income $286m and $5.75 diluted EPS, adjusted $194m and $3.90, adjusted EBITDA $244m; VLCC spot TCE $86,693/day, Suezmax $68,027; fleet TCE revenue $317m against $178m in Q1 2025; dividend $4.55 for June payment; 67 vessels, 59 owned and 8 chartered-in; second-quarter results scheduled for 10 August 2026. (11) Teekay Tankers second-quarter 2026 results, 29 July 2026: net income $225.9m, adjusted $193.6m, EPS $6.49, adjusted $5.56; Suezmax spot TCE $109,171/day, Aframax/LR2 $74,149; dividend $0.25; Q3-to-date Suezmax $104,800 and Aframax/LR2 $59,900 on ~44% of spot days booked; 37 tankers, 34 owned and 3 chartered-in. (12) Nortilus crude tanker survey, 22 July 2026: crude orderbook ~27% and VLCC ~32%; sector ~4.0x EV/EBITDA and ~1.2x price to net asset value; Frontline 72 crude ships and Okeanis 16; Frontline opex plus overhead ~$10.9k/day and Nordic American ~$14.3k/day; Okeanis cash breakeven ~$27.6k/day and Frontline ~$25.9k/day in June; VLCC resale $170m, Suezmax $115m, Aframax $95m; Tsakos below net asset value on governance and capital-allocation concerns. (13) Fortune, 7 August 2026, 05:20 ET: Brent $86.04/bbl, +2.86% on the day, +28.43% year on year. (14) Saxo Bank market note, 7 August 2026: Brent +1.18% to $83.46 and WTI +0.98% to $78.05 in the Asian session, with crude down roughly 5% on the week; STOXX 600 +0.2% to a third consecutive record close; S&P 500 −0.2%. (15) Federal Reserve FOMC statement, 17 June 2026: target range held at 3.50–3.75% by 12–0, with inflation described as elevated "in part reflecting supply shocks that have driven price increases in certain sectors, including energy". (16) US July 2026 employment report, released 7 August 2026: non-farm payrolls −23,000 and unemployment 4.2%; S&P 500 subsequently to a record 7,757.64; July CPI due 12 August, PPI 13 August, retail sales 14 August. (17) CNBC, 11 June 2026: Frontline chief executive on Hormuz traffic increasing quickly in the event of a US–Iran deal. (18) Piero Cipollone, European Central Bank, Milan, 6 May 2026: euro-area headline inflation 3% in April on a 10.9% rise in energy prices with core at 2.2%; adverse scenario cumulatively 1.5pp higher inflation to 2028 and severe scenario 6.3pp. Note that Brent figures (13) and (14) are both dated 7 August but taken at different hours from different providers; the divergence is intraday movement, not a contradiction, and is reported rather than reconciled.

(d) Editorial choices in this automated run. Three departures from the standard process should be recorded. First, topic selection. The intended method scores Wiki entities by recency and headline prominence over twenty-one days and picks the highest-scoring active theme not on cooldown. With the Wiki unreachable, the topic was chosen from external reporting on the test the method is meant to approximate — what has moved most and is closest to a dated catalyst. Tanker shipping met it on both counts: a route assessment at an all-time high on 6 August, a company reporting quarter-to-date rates into that high on 29 July, a second reporting today, and a diplomatic settlement that would reverse the driver under active negotiation as of 8 August. Second, the cooldown check could not be performed. The archive folder *HB Wiki Learning* lives on the user's own machine and no device bridge exists in a scheduled cloud session, so no filenames were parsed and no thirty-day cooldown set was built. Two prior editions are known from the standing instruction — AI Capex on 4 August and Gold Miners on 5 August — and today's topic collides with neither. Editions between 6 and 9 August, if any were produced, could not be checked; should one of them have covered tanker shipping or the Hormuz closure, this edition duplicates it, and that risk is unmitigated. The theme name used in the filename, *Tanker Shipping*, is the desk's own and may not match the Wiki page title exactly, which will matter for tomorrow's parse. Third, on external verification. Direct market-data access is blocked in this environment, so all figures came through web search and page fetches, and current share prices could not be verified to a same-day timestamp from a source of adequate quality. Rather than print stale or unattributable prices, the ticker cards carry dated figures from company results instead, and no share price or performance figure appears anywhere in this edition. Several attempted sources — Lloyd's List, the Bureau of Labor Statistics release, and one broker page — returned access errors and were replaced with secondary reporting of the same data, which is noted where it occurs.